**FinCalc Smart**

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Scenario: RFI-20260616-4930

# Mortgage Refinance Calculator

Personal Financial Scenario Report

**United States · USD**

fincalcsmart.com/mortgage-refinance-calculator

## EXECUTIVE SUMMARY

**Refinancing May Reduce Cost**

| $2,306.35 | $2,075.51 | $230.84 | $13,391 | Refinancing May Reduce Cost |
|---|---|---|---|---|
| Current Payment | New Payment | Monthly Savings | Net Savings (Horizon) | Decision |

## MONTHLY PAYMENT COMPARISON


Total projected: $2,306.35

- Current Payment: $2,306.35 (100.0%)
- New Payment: $2,075.51 (90.0%)

## AI-ASSISTED REFINANCE DECISION SUMMARY

Refinancing from 7.5% to 6.75% on a $320,000 balance reduces your estimated monthly payment from $2,306.35 to $2,075.51 -- a saving of $230.84/month. Break-even estimated at month 26 (~2.2 years). Note: the new 30-year amortization extends your repayment period beyond the current 27 years remaining, which may increase total lifetime interest cost despite lower monthly payments.

Over the 7-year comparison horizon, the new mortgage saves approximately $12,798 in interest compared to keeping the current mortgage. Total interest under the current mortgage over 7 years: $125,927. Under the new mortgage: $116,810. Net savings over the horizon (after refinance costs): $13,391.

This comparison uses a 7-year horizon for interest and payment calculations. Extending the horizon or choosing a shorter amortization would change the total interest outcome. US mortgages use monthly compounding. Actual costs depend on lender fees, prepayment penalties, appraisal, and title charges not fully modeled here.

## INPUTS & ASSUMPTIONS

| | |
|---|---|
| Current Balance | **$320,000** |
| Current Rate | **7.5%** |
| Years Remaining | **27 yr** |
| New Rate | **6.75%** |
| New Amortization | **30 yr** |
| Refinance Costs | **$6,000** |
| Comparison Horizon | **7 yr** |
| Region | **United States** |

## DETAILED RESULTS

| | |
|---|---|
| Current Monthly Payment | **$2,306.35** |
| New Monthly Payment | **$2,075.51** |
| Monthly Savings | **$230.84** |
| New Principal | **$320,000** |
| Break-Even | **Month 26** |
| Current Interest (Horizon) | **$125,927** |
| New Interest (Horizon) | **$116,810** |
| Interest Saved (Horizon) | **$12,798** |
| Net Savings (Horizon) | **$13,391** |
| Decision | **Refinancing May Reduce Cost** |
| Term Extension Warning | **Yes** |

## KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Monthly savings of $230.84/month (reduction from $2,306.35 to $2,075.51). Over the 7-year horizon this represents $19,391 in cumulative payment change before interest adjustment.
- Refinance costs of $6,000 are the primary break-even driver. Break-even estimated at month 26 (~2.2 years). If you plan to move before break-even, refinancing may not be cost-effective.
- Your new amortization (30 yr) is longer than your current remaining term (27 yr). Lower monthly payments come at the cost of a longer repayment period, which may increase total lifetime interest.

## METHODOLOGY

**What this calculator models:**

- Current monthly payment calculated from the current balance, rate, and years remaining. New monthly payment calculated from the new principal (balance + cash-out), new rate, and new amortization.
- US mortgages: monthly compounding. Rates entered as annual nominal rates.
- Total interest over the comparison horizon calculated by simulating payments for 7 years under each scenario. Break-even calculated as refinance costs divided by monthly savings (or 0 when costs are 0).

**What this calculator does not model:**

- Prepayment penalties on the existing mortgage.
- Lender origination fees, appraisal, title insurance, or legal costs beyond the entered refinance cost.
- Escrow account changes (property tax and insurance).
- Investment return on monthly savings if reinvested.
- PMI recalculation on cash-out refinances.
- Tax deductibility of mortgage interest.

## EDUCATIONAL DISCLAIMER

This report is for educational and illustrative purposes only. The refinance comparison uses assumed fixed rates and does not account for all lender fees, taxes, prepayment penalties, or investment alternatives. Actual savings depend on the final negotiated rate, lender-specific closing costs, and how long you retain the mortgage. This does not constitute financial, mortgage, or legal advice. Consult a licensed mortgage professional before refinancing.